

Internal Tax Circular: Taxation of Life and Health Insurance Products

Section 80C - Life Insurance Premiums

Premiums paid towards life insurance policies qualify for deduction under Section 80C of the Income Tax Act, 1961, up to an overall limit of Rs. 1,50,000 per annum, combined with other eligible investments. For policies issued on or after 1 April 2012, the deduction is available only if the annual premium does not exceed 10% of the sum assured (15% for policies on the life of a person with disability or specified disease).

Section 10(10D) - Maturity Proceeds

Maturity or death benefit proceeds from a life insurance policy are exempt under Section 10(10D), provided the premium-to-sum-assured ratio condition under Section 80C is met. Effective FY 2023-24, maturity proceeds from life insurance policies (other than ULIPs) issued on or after 1 April 2023 are taxable if the aggregate annual premium across all such policies exceeds Rs. 5,00,000.

Section 80D - Health Insurance Premiums

Health insurance premiums are deductible up to Rs. 25,000 per annum for self, spouse, and dependent children, and an additional Rs. 25,000 for parents below 60 years. The limit increases to Rs. 50,000 where the insured person is a senior citizen (60 years or above). Preventive health check-up expenses up to Rs. 5,000 are included within these overall limits.

TDS on Insurance Payouts

Under Section 194DA, TDS at 5% is deducted on the taxable portion of life insurance payouts (i.e., where proceeds are not exempt under Section 10(10D)) exceeding Rs. 1,00,000 in aggregate during a financial year. TDS is deducted on the income component (payout minus premiums paid), not the gross payout.

GST on Premiums

GST is levied on life and health insurance premiums at 18%, applied to the risk (mortality/morbidity) component of the premium. For traditional endowment plans, GST is charged at 4.5% of the premium in the first year and 2.25% in subsequent years, as per the composite rate rules for life insurance.

Disclaimer

This circular is for internal reference only and summarizes provisions as understood as of the date of issue. It does not constitute tax advice. Customers should be directed to consult a qualified tax professional or chartered accountant for advice specific to their situation.